



Market Briefs **Pro**

Read less news

Good morning, Pro Briefers!

This week we've identified a Wall Street Shift: Institutional investors are shifting more of their dollars into data centers as cloud demand grows.

Let's break down how you can take advantage of this investment opportunity.

In 2004, the average cell phone had between 10-20 mbs of storage.

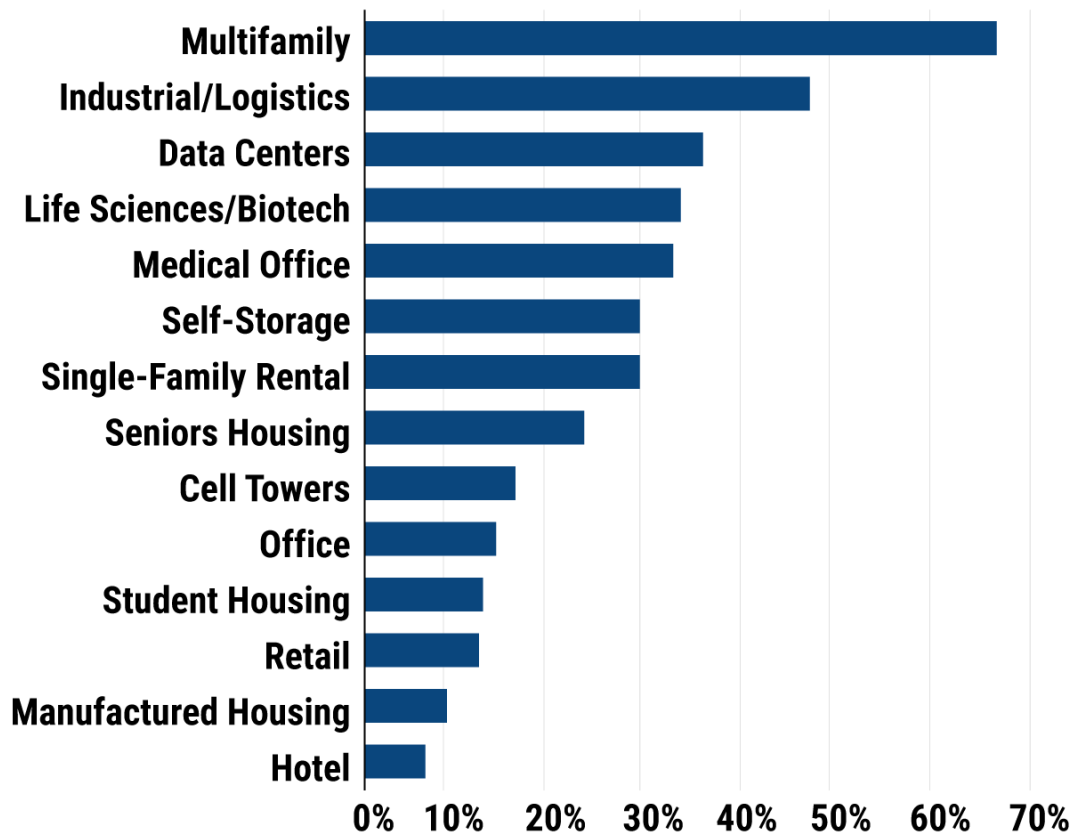
By 2014, phones had an average storage capacity of 16 GB.

And today, phones can come with a terabyte of storage.

What's the point? That cloud data is stored in the real world - in data centers.

WMRE Survey: Property Types Most Likely Preferred By Institutional Investors

(Survey from 2023)



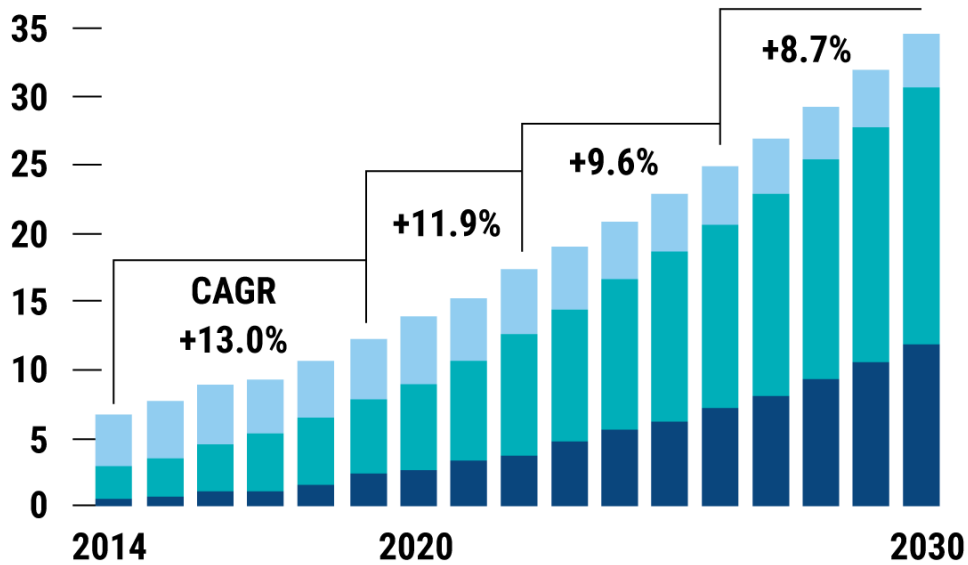
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Data [via](#) WMRE

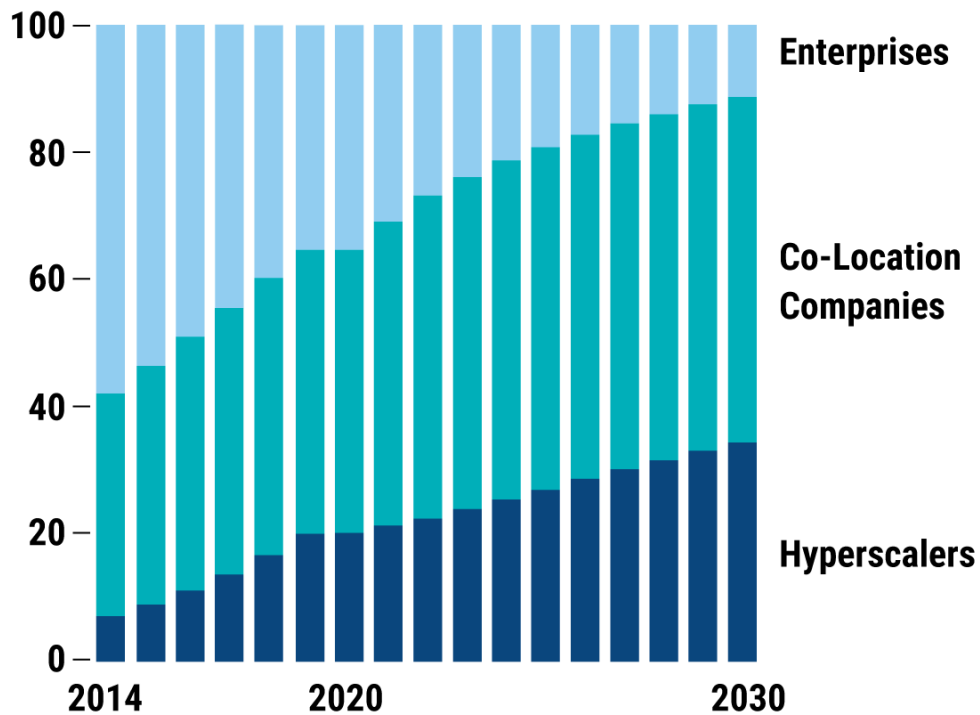
60% of all corporate data is stored online and 2.3 billion people around the world are using cloud storage.

U.S. Data Center Demand Is Forecast To Grow By Some 10 Percent A Year Until 2030

Data Center Power Consumption, By Providers/Enterprises, Gigawatts



Data Center Power Consumption, By Providers/Enterprises, % Share



As the demand for cloud storage rises, the world will need more data centers to keep up with demand.

Large investing institutions like Blackstone (BX), KKR (KKR), and BlackRock (BLK) are now investing in the physical infrastructure, management, and specialized real estate that makes up data centers.

We want your feedback: Tell us what you think about this edition of Market Briefs Pro [by clicking here](#).

BRIEF BREAKDOWN

Physical Infrastructure

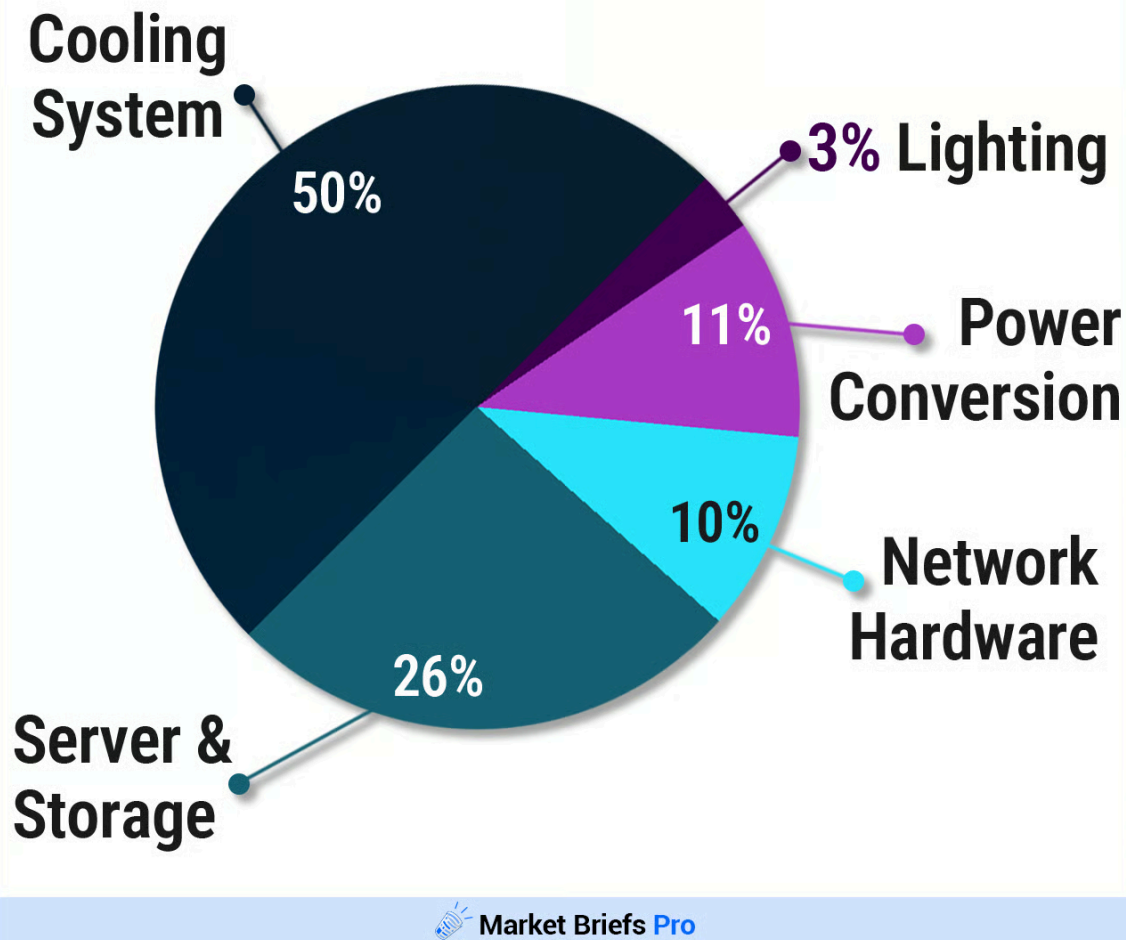
If you've ever heard your MacBook sound like a helicopter, you know that computers generate lots of heat.

Data centers house thousands of large servers, *so things can get pretty hot*.

Too much heat can be dangerous and expensive - 1 megawatt-hour of heat costs \$2.5-3.5 million.

- The average data center generates 20 to 50 megawatts of heat - or a constant temperature of 85 to 115 degrees Fahrenheit.

Energy Consumption Breakdown In Data Centers By Component



Data [via](#) Stratview Research

In short - data centers need specialized physical infrastructure to keep things cool.

- Cooling comprises 38% of the total cost to operate a data center.

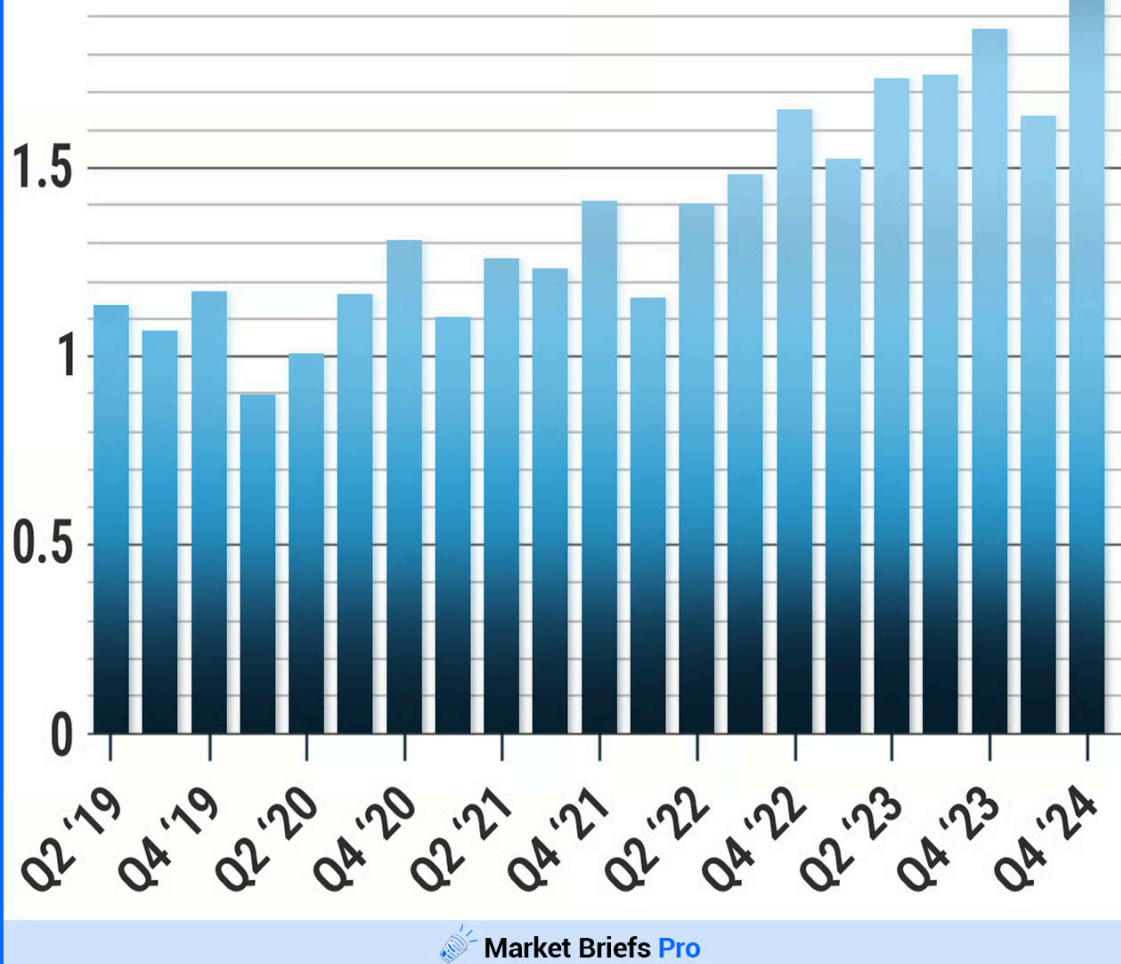
Vertiv Holdings (VRT) has seen its revenue rise steadily as a major producer of cooling systems for data centers.

The company focuses on two types of what it calls heat rejection:

- Liquid cooling
- Air cooling

Heat Rejection 101: Liquid is much more efficient for reducing temperatures than air, making it the primary focus for Vertiv.

Vertiv Total Revenue, Q2 2019 - Q2 2024 (\$Billions)



Data via Yahoo! Finance

- A study from Vertiv found that its cooling systems reduced server heat by 50% at the data centers it works with.

Speaking of which - Vertiv is the primary cooling system company for 270 data centers around the world.

- Roughly 2% of all data centers work with Vertiv just for its cooling business.

Only 1 in 5 data centers are currently utilizing liquid temperature control methods, and Vertiv estimates that 60% of its customers are considering switching from air cooling in 2025.

Why? Air cooling is typically around 3 cents cheaper per watt-hour for a data center to use - but in the long run, it requires more maintenance.

Vertiv Holdings Co (VRT)

124.63
(+1,028.26%)

5 Year Price →



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Data [via](#) Yahoo! Finance

Liquid cooling methods from Vertiv can save data centers money by lowering energy consumption by 97%.

In Q3 2024, Vertiv generated \$2.03 billion, up 19% year over year, and expects to generate over \$7 billion in total revenue by the end of 2024, which would be its highest ever.

Largest Data Center Operations

	Retail - Interconnection & Enterprise		Wholesale - Hyperscale & Build-To-Suit (BTS)		
Operators	EquinixCoresiteDigital RealtyCyrusoneQTS				
Data Centers	227	24	284	53	27
Customers	10,000	1,350+	4,000+	1,000+	1,000+
Power Capacity	1,300 MW	250 MW	1,800 MW	836 MW	294 MW
Square Feet	26.2M	3.2M	35.4M	7.7M	3.9M
Interconnections	387K	30K+	162K	23K	13K
Top Customers	AppleGoogle CloudNETFLIXXfacebookLinkedInIBM CloudawsAzureSpotifysalesforceSnapchatTikTokUber				

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Data via Dgtl Infra

BlackRock and Vanguard are the biggest institutional owners of Vertiv, both owning just over 9% of the company's shares, for a total combined value of \$8.6 billion.

- BlackRock owned just under 6% of Vertiv at the end of 2023.

And because data centers never shut down, they also need continuous power - investment firms are fueling some of that power generation.

KKR & Co. Inc. (KKR)

156.28
(+436.31%)

5 Year Price →



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Data [via](#) Yahoo! Finance

KKR, an investing institution, announced in October that it plans on investing \$50 billion into data center power generation.

- KKR began investing in data centers back in 2019.
- KKR bought CyrusOne for \$15 billion earlier in 2024.

CyrusOne owns and operates one of the largest data center networks in the U.S.

KKR also invested \$11 billion into Equinix (EQIX), one of the largest data center power companies in the world, back in 2021.

That investment has helped fuel Equinix's revenue growth and expand its services to reach some of the largest tech companies using data centers today.

40%+ Of Listed Hyperscale Cloud Edge Nodes Are In Equinix

(Public Multi-Cloud And Network Density)



AWS

42%

Market Share



Google Cloud

45%

Market Share



Azure

48%

Market Share



Oracle

50%

Market Share



40% of the world's cloud giants including Amazon, Microsoft, Google, and Oracle, use Equinix for their data center power needs.

- That's charged up Equinix's revenue in recent years, with the company bringing in \$8.5 billion in 2024, up over 8% year over year.

In fact, Equinix's revenue has grown every year since 2021 and has more than doubled since 2017.

Equinix, Inc. (EQIX)

981.87
(+75.60%)

5 Year Price →



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Data [via](#) Yahoo! Finance

Equinix also owns and operates over 260 of its own data centers throughout the world, the second most outside of big tech names like Amazon and Google.

Its biggest owners? Vanguard owns 13% of Equinix and BlackRock owns just over 10% as well, for a combined amount of \$21 billion.

- Institutional ownership of Equinix reached its highest point in December 2024, as institutions now own over 94% of the company.

The physical infrastructure of data centers is creating multiple investment opportunities for investors of all sizes to profit, along with funds like the TCW Transform Systems ETF.

TCW Transform Systems ETF (NETZ)

3 Year Price →

75.67
(+53.30%)



 **Market Briefs Pro**

Data [via](#) Yahoo! Finance

Real Estate

Beyond physical infrastructure, data centers need to be built on special plots of land.

What does that mean? Not just any piece of real estate will do for a data center - builders look for a few key things before buying data center real estate:

- Size
- Proximity to power
- Low risk of natural disasters

Without each, data centers run the risk of shutting down or not having enough power to operate.

SBA Communications Corporation (SBAC)

5 Year Price →

216.63
(-8.12%)



 Market Briefs Pro

Data [via](#) McKinsey & Company

That's why many institutions are beginning to invest in companies that specialize in building data centers on the right real estate.

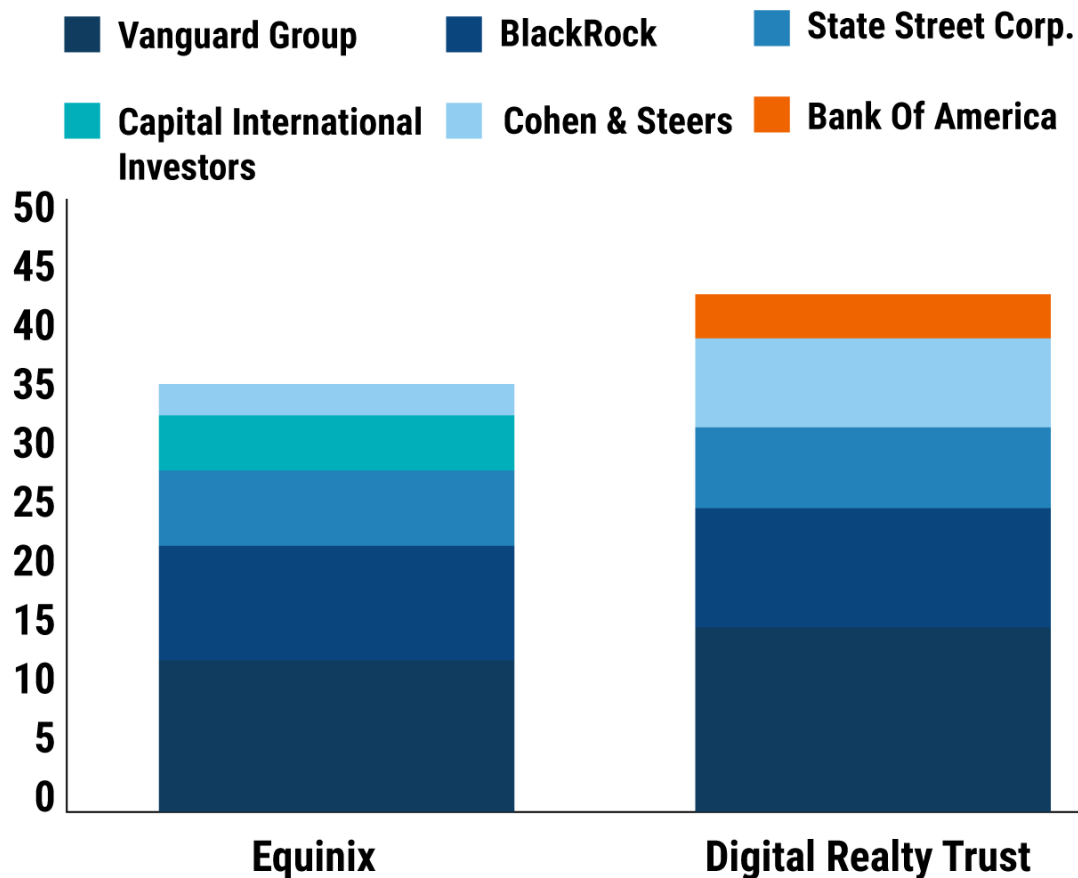
One of those companies that is seeing more institutional dollars is Digital Realty Trust (DLR).

- It's the largest owner of data centers (284) outside of Amazon and Google.

As of December 2024, 74% of the company is owned by institutional investors, with Vanguard boasting the most ownership at 15%, a stake valued at \$9.1 billion.

Top Institutional Shareholders In Equinix And Digital Realty

(Equity Ownership %)



Market Briefs Pro

Data via S&P Global

However, Norges Bank, the central bank of Norway, has increased its ownership in Digital Realty Trust by 26% in the last year, the most of any investment firm.

Why? Norges wants to diversify its assets with physical properties that have a global reach, and it believes Digital Realty and its data centers are a prime opportunity to do that.

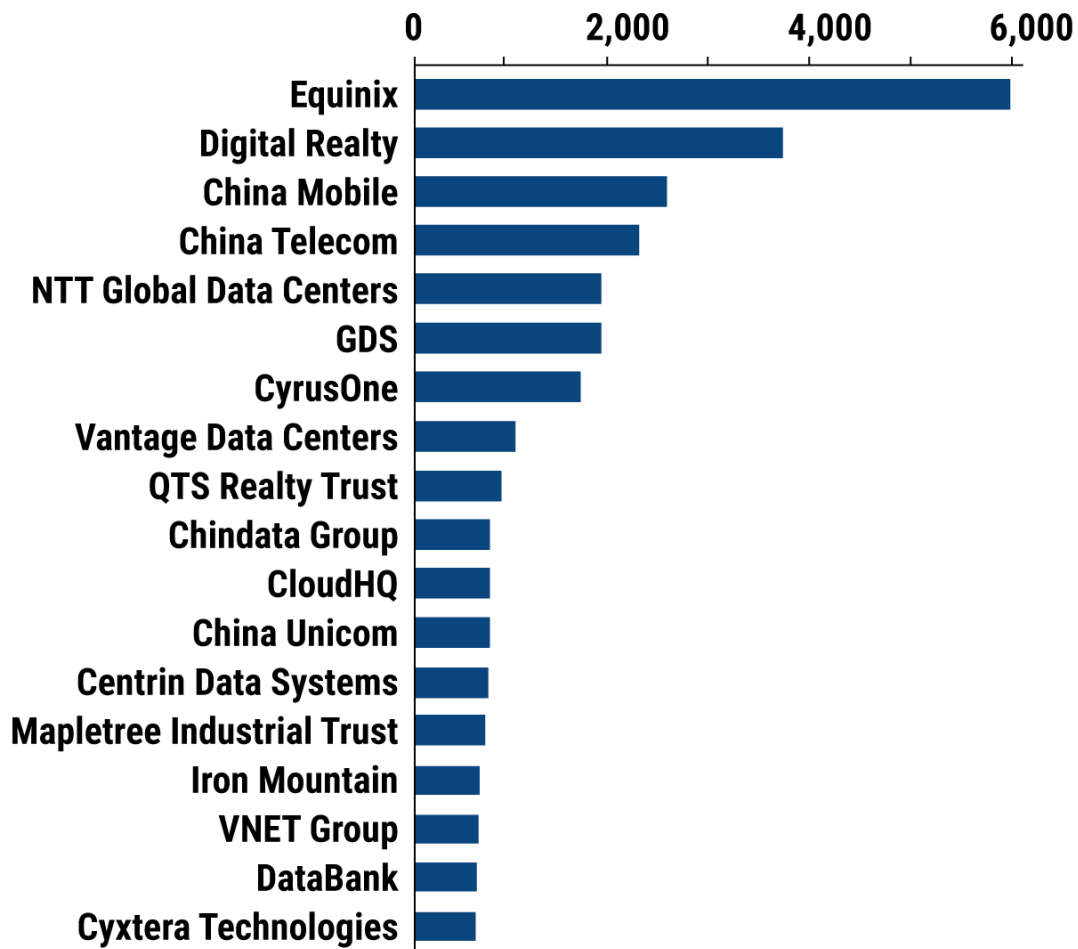
Digital Realty is the world's second-largest data center company by revenue, just behind Equinix.

- DLR brought in just over \$3 billion in revenue in 2023.

Part of the reason for that is due to how Digital Realty develops data centers, from scouting the locations to building the centers themselves.

20 Largest Data Centers By Revenue

(In \$Millions)



 Market Briefs Pro

Data via S&P Global

Last year, Blackstone, the world's largest alternative asset manager, announced it would be partnering with Digital Realty to build data centers in a \$7 billion deal.

And when investors buy shares in Digital Realty, they're actually buying a real estate investment trust (REIT).

- DLR has paid out 370% of its earnings as a dividend to its investors since its founding in 2004.

This has allowed Digital Realty Trust to expand into 50 different countries - and to date, it is the industry leader in data center ownership by square foot and total processing power.

Digital Realty Trust, Inc. (DLR)

5 Year Price →

187.52
(+60.25%)



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Data [via](#) Yahoo! Finance

Speaking of Blackstone, when it comes to real estate ownership, no other institutional investor has more ownership in data centers.

In 2021, Blackstone acquired QTS, a data center builder, for \$10 billion.

At the time, QTS owned and operated roughly 7 million square feet of data centers in the U.S. and Europe, but Blackstone has since expanded its reach.

Blackstone Inc. (BX)

188.52
(+243.41%)

5 Year Price →



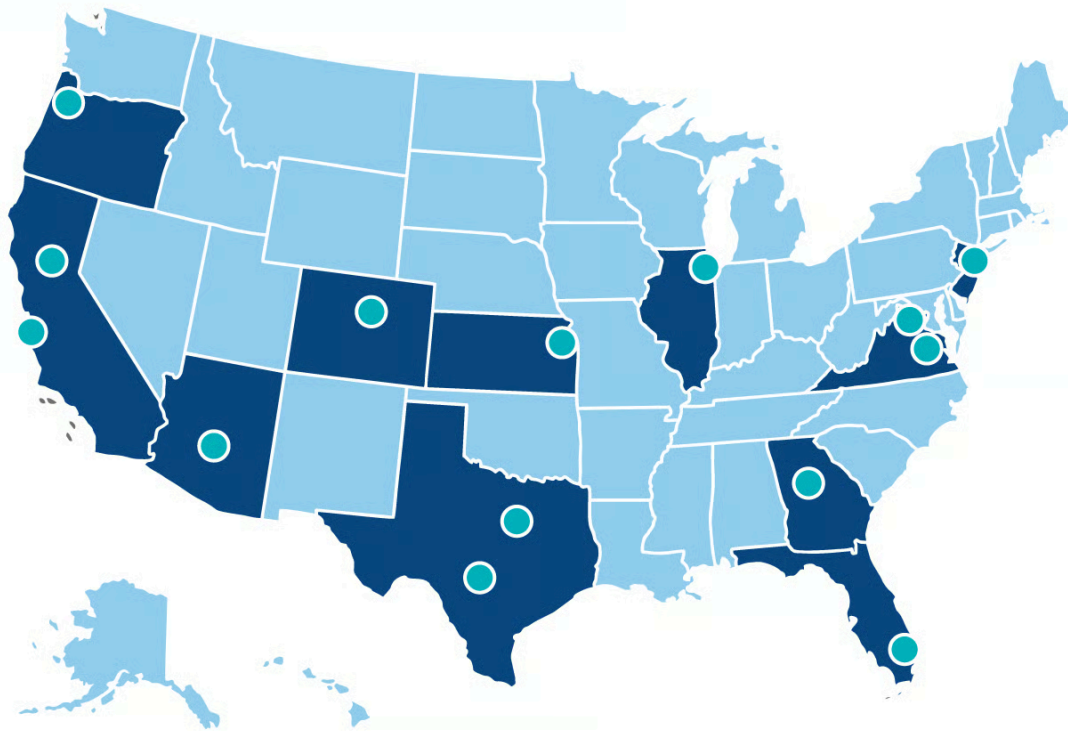
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Data [via](#) Yahoo! Finance

- Under the QTS brand, Blackstone now owns over 9 million square feet of data center space globally.

What's the big deal? Blackstone wants to be a global leader in data centers - it increased its data center ownership in companies and real estate from \$55 billion to \$70 billion last quarter.

Locations of Blackstone Data Centers in the U.S.



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Data *via* Dgtl Infra

It wants to boost its holdings in data center companies and real estate to over \$100 billion in the future.

iShares Cohen & Steers REIT ETF (ICF)

5 Year Price →

63.67
(+10.25%)



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Data [via](#) Yahoo! Finance

Blackstone and Digital Realty Trust are two of the biggest names in data center real estate, but there are other REIT opportunities for investors, like the iShares Cohen & Steers REIT ETF.

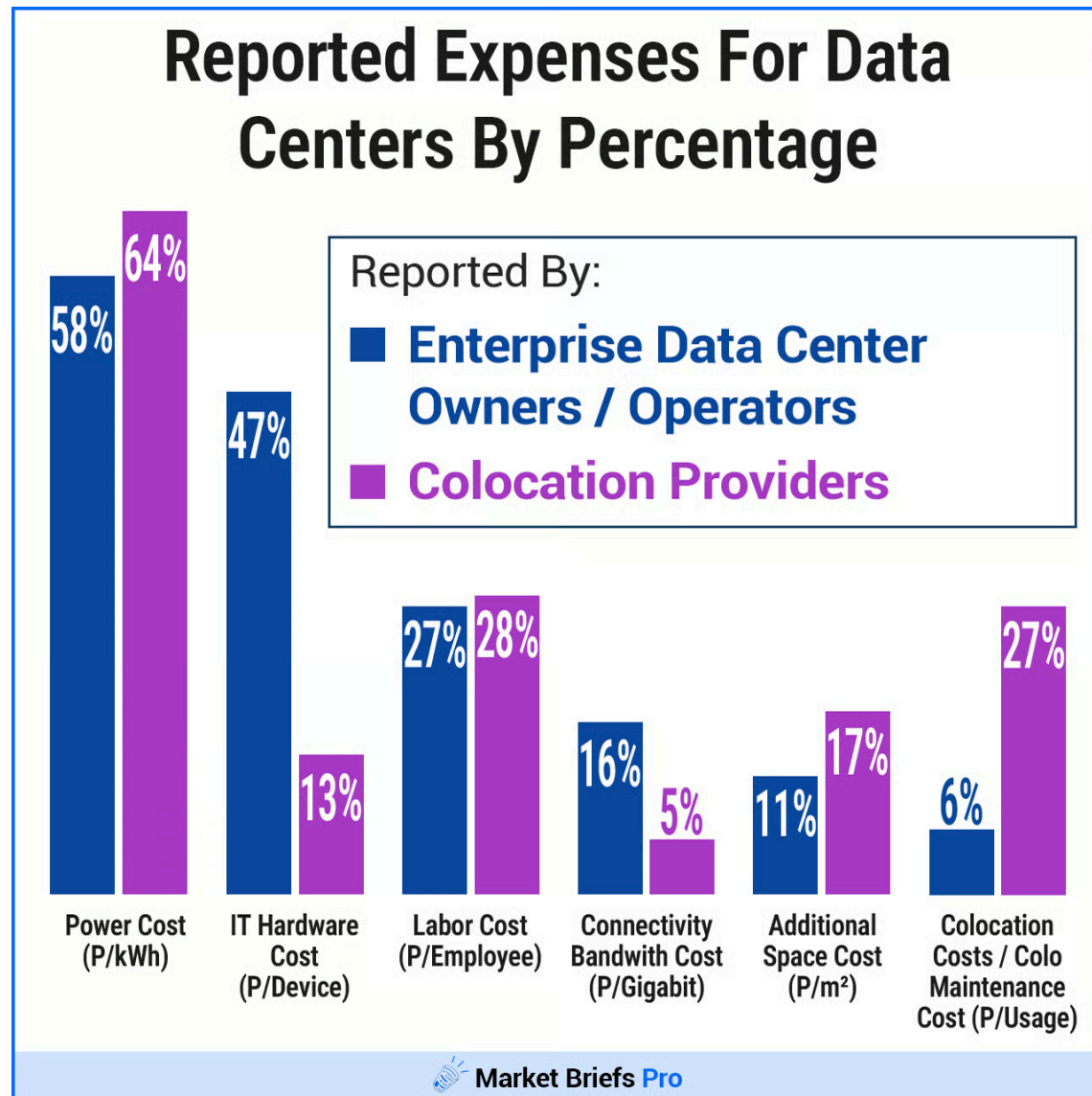
DEEP BRIEF

Management

Annual operational costs for a data center typically range between \$10-25 million, depending on the size of the location.

One of the highest costs for businesses is hiring specialized staff to run the data center.

However, hiring a third-party company to manage the data center has been shown to save businesses money.



Data [via](#) Uptime Intelligence

- 365 Data Centers estimates that businesses who hire another company to run their data center save on average 41% on operating costs.

This has led to the rise of colocation services for data centers, with Iron Mountain (IRM) emerging as a leader within the data center management space.

Iron Mountain is a digital information company first - that means it works to take physical records and store them completely on the cloud.

But its data center services go one step further, offering physical security, customized compliance, and server rentals for businesses.

Iron Mountain Incorporated (IRM)

5 Year Price →

113.56
(+247.51%)



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Data [via](#) Yahoo! Finance

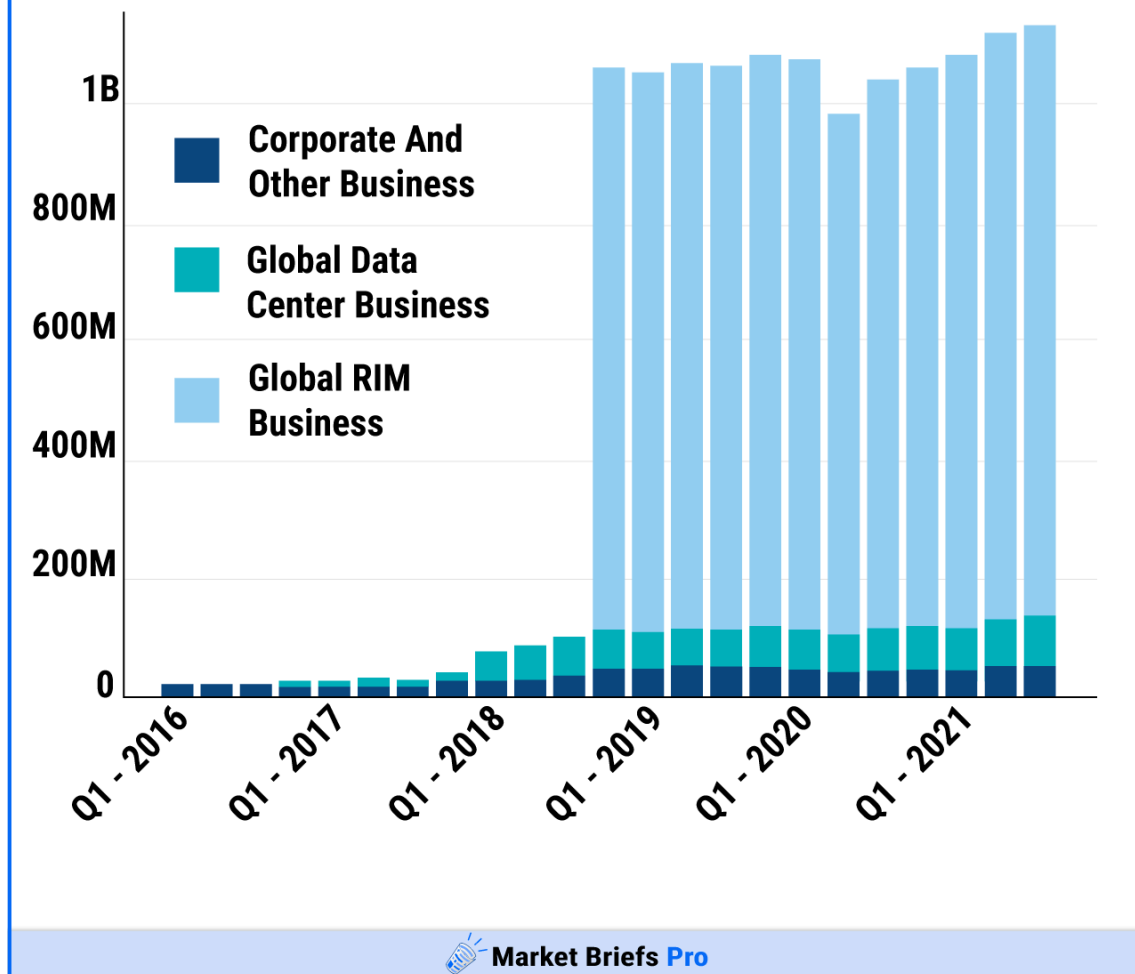
Why is this important? Congress announced in November 2024 that it was aiming to pass a bill in 2025 that would raise efficiency standards for data centers.

Many businesses don't have the ability to navigate these standards on their own, so they have Iron Mountain do it for them.

In addition, all of that data within a data center needs to be protected - Iron Mountain protects it digitally and physically.

The majority of Iron Mountain's revenue now comes from data center management, which has also grown every quarter since Q2 2020.

Iron Mountain's Revenue By Segment



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Data via Business Quant

- Its RIM (records in management) business alone earned \$4.66 billion last year, an increase from \$3.7 billion in 2020.

Vanguard and BlackRock are the two largest institutional owners of Iron Mountain, owning a combined 26% of the company. Those combined shares are worth \$8 billion.

- BlackRock increased its ownership of Iron Mountain by 12% according to its Q3 2024 filing with the SEC.

BlackRock, Inc. (BLK)

1,051.32
(+112.86%)

5 Year Price →



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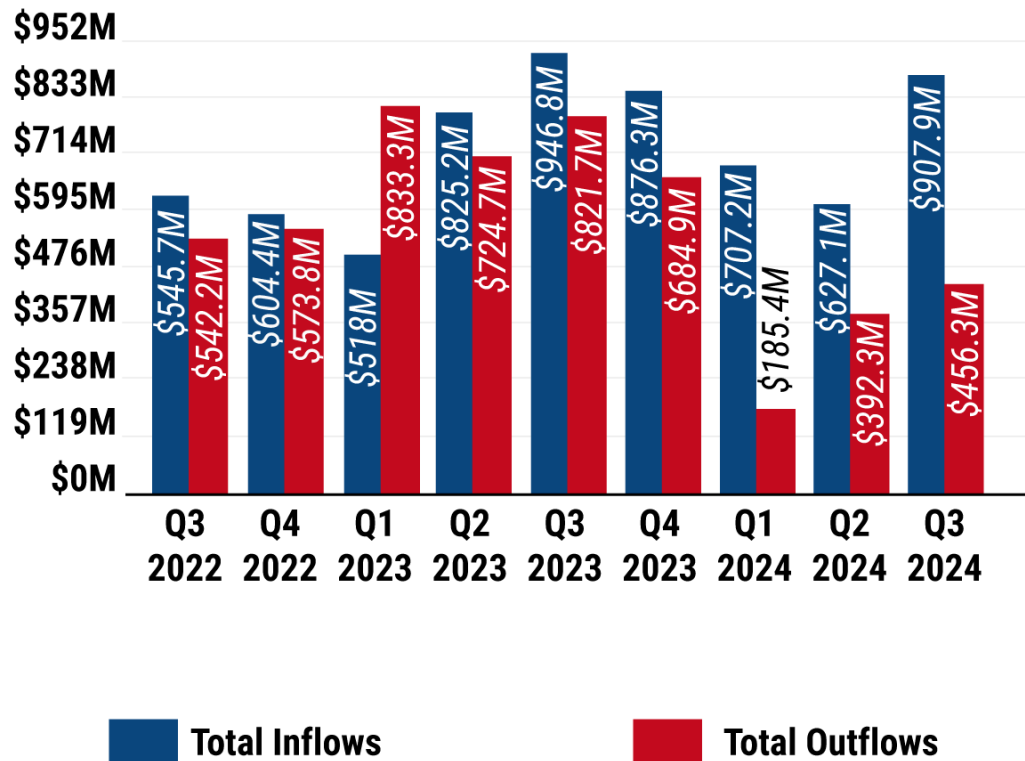
Data [via](#) Yahoo! Finance

One final key service that needs to be managed at data centers is workload support for the data coming in and out.

In English: Thousands of terabytes flow through data centers every week, but maintaining each server's software is a complicated job in itself.

Computers function based on math formulas - the more complicated the computer, the more complicated the math. SBA Communications (SBAC) does that math for data centers.

Institutional Buying And Selling By Quarter For SBA Communications



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Data via Defense World

How? Through its subsidiary SBA Edge, it makes sure that the software on the data centers servers is processing, entering, and exiting data properly.

- Last quarter, it saw its second-largest inflow of institutional investor funds on record, with institutional investors buying \$907 million in shares.

The company has also recorded its five highest quarterly revenues in its history in 2023 and 2024, earning \$2.6 billion during that time.

SBA Communications Corporation (SBAC)

5 Year Price →

216.63
(-8.12%)



 Market Briefs Pro

Data [via](#) Yahoo! Finance

SBA is now acquiring data centers of its own to make its management business more efficient and it expects the workload support business for data centers to grow to \$300 billion by 2026.

The WisdomTree Cloud Computing Fund ETF allows investors to buy shares in the data center management industry, as well as other public companies like SBA Communications and Iron Mountain.

WisdomTree Cloud Computing Fund (WCLD)

5 Year Price →

40.60
(+61.71%)



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Data [via](#) Yahoo! Finance

REVIEW

Data Centers = Dollars For Investors

AI, the cloud, and quantum computing can't happen without data centers.

Rising demand for data centers means more need to be created - and so far, the U.S. is leading the way with the most data centers of any country.

But because this is a new space, businesses need help finding the right real estate and physical infrastructure to make sure data centers are running smoothly.

Institutions like Vanguard, Blackstone, and KKR see this as a new profit opportunity - and regular investors can also take note and profit as the industries around data centers continue to grow.



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